

1. As drafted, the performance work statement (PWS) requires the contractor to ensure sufficient staffing and provides a matrix defining three possible levels of case complexity – low, medium, high. The PWS and RFI documents, however, do not provide an estimated or guaranteed minimum level of support requests. To facilitate better responses to the RFI questions (specifically sections 7 and 8), can the IRS provide an estimate or information regarding the minimum volume of cases for each complexity level that will be ensured / committed to under the PWS?

The IRS estimates that during the first year of performance there may be approximately 210 low-complexity cases, 65 medium-complexity cases, and 25 high-complexity cases. These figures are planning estimates only and do not represent minimum volumes. Additionally, the IRS anticipates that internal tools and resources may be capable of addressing some or all low-complexity cases and potentially a portion of medium-complexity cases. Actual case volumes and complexity distribution may vary based on operational priorities and resource availability.

2. The performance work statement (PWS) includes a complexity matrix defining three possible levels of case complexity – low, medium, hard. One of the elements of these definitions relates to “Platforms/Datasets.” Can the IRS provide more clarity around how it is defining these terms for custodial account data? For example, the IRS may receive data for an individual account with a custodial broker but the data for that single account with the broker may include five unique datasets, such as separate data files for trading activity, orders, deposits, withdrawals, and miscellaneous activity such as rewards, margin fees. Can the IRS clarify whether these are viewed as a single “platform” (i.e., an account with a custodial service) or as multiple datasets, since data is provided in multiple uniquely formatted files that need to be interpreted and ingested independently?

Generally, the IRS considers records received from a single custodial broker to constitute a single dataset for purposes of complexity classification, even if the broker provides multiple data files (e.g., trading activity, deposits, withdrawals, rewards, or fees). The existence of multiple file formats or transaction categories within a single custodial relationship does not automatically result in classification as multiple datasets.

3. The performance work statement (PWS) includes a complexity matrix defining three possible levels of case complexity – low, medium, hard. One element of these definitions relates to “Platforms/Datasets.” Can the IRS provide more clarity around how it is defining these terms with respect to situations where a taxpayer (or husband and wife taxpayer unit) have multiple accounts with a

single custodial broker? For example, one taxpayer or a husband and wife taxpayer group might have four different accounts with the same custodial broker, which may result in the receipt of at least four (or possibly more) different datasets containing information for those accounts.

In general, the IRS considers records associated with a single custodial broker to represent one dataset for complexity purposes, even if multiple accounts exist with that broker. However, if there is a business or legal reason requiring separate computations (for example, spouses filing separately), the IRS may treat those accounts as separate datasets to the extent separate analysis or reporting is required.

4. The performance work statement (PWS) includes a complexity matrix defining three possible levels of case complexity – low, medium, hard. One element of these definitions relates to “Platforms/Datasets”. Can the IRS provide more clarity on how it defines these terms regarding non-custodial data (i.e., blockchain address or wallet data)? For example, the IRS might receive datasets for individual addresses or for a “wallet” that comprises multiple individual addresses. While this scenario can arise on any blockchain, it typically arises more acutely on unspent transaction output (UTXO) blockchains. In these situations, how is the IRS defining the terms “platform/datasets.” In some situations a taxpayer may have a single “wallet” but that wallet may include hundreds of addresses. The IRS may receive data at the wallet level, but given the language of the PWS, the IRS more likely receives data for every separate address in that wallet and needs to have it ingested. This could result in a contractor needing to ingest a single wallet file vs. hundreds of address files depending on the scenario.

For non-custodial digital asset data, the IRS generally considers each self-custodial wallet to constitute a single dataset. If a wallet controls multiple addresses through a unified private key structure, the IRS typically treats that wallet as one dataset for purposes of classification. The number of individual addresses associated with the wallet does not automatically result in multiple datasets unless separate technical or analytical treatment is required.

5. How many contractor personnel currently support the Digital Asset Computation Support program?

The IRS does not maintain a fixed staffing model for contractor personnel supporting this program. Staffing levels are determined by the contractor in accordance with contract requirements and may vary based on workload and operational needs.

6. What labor categories currently support the program (e.g., data analysts, blockchain analysts, tax SMEs)?

Labor categories supporting the program have included roles such as Virtual Currency Subject Matter Experts (SMEs), Project Managers, Data Ingest Analysts, Senior or Lead Consultants, and other technical or tax specialists as necessary to meet program requirements.

7. What is the current pricing structure of the incumbent contract (e.g., annual Firm Fixed Price, per case pricing, labor-hour)?

The current contract utilizes a Firm-Fixed-Price structure. This will most likely shift to a labor-hour or a combination of labor-hour and firm-fixed price in any future solicitation.

8. Are platform licensing costs included within the prime contract pricing structure or billed separately?

The PWS specifies that the contractor must provide its own digital asset computation software. As such, any associated platform licensing costs are expected to be included within the contractor's pricing structure.

9. Approximately how many digital asset examination cases have been processed under the current contract?

Approximately 200 cases have been processed under the current contract to date.

10. What is the typical transaction volume per case?

Transaction volumes vary significantly by case. Volumes may range from tens of thousands of transactions to ten million or more. Most commonly, cases involve hundreds of thousands of transactions.

11. Are cases currently assigned through a work-order model or a standing support model?

Cases are assigned using a work-order model.

12. How frequently is litigation support required under the current program?

The need for litigation support varies depending on case-specific factors, including the taxpayer's response, procedural posture, and available IRS resources. Not all cases require litigation support.

13. What proportion of cases involve transaction volumes exceeding one million transactions?

Cases involving transaction volumes exceeding one million transactions are generally classified as high complexity. Based on planning estimates of approximately 300 cases, roughly 25 cases may fall into this category. Actual volumes may vary and the estimates should not be viewed as a contract minimum.

14. Due to the difficulty in anticipating in advance the time involved in litigation support, what flexibility is permitted in providing pricing estimates for such support?

Offerors may propose reasonable assumptions and methodologies for estimating litigation support costs consistent with the pricing structure identified in the solicitation. The IRS recognizes that litigation timelines and scope can vary and expects offerors to describe how they would account for this variability in their pricing approach.

15. Due to the difficulty in anticipating in advance the time involved in litigation support, what assumptions / contingencies have been included to protect both the IRS and the contractor from a cost perspective?

Litigation support is generally limited to providing computational analysis and related expert support as described in the PWS. In many cases, testimony may be provided virtually, which can reduce associated travel costs.

16. To date, what has been the median cost of cases on which the IRS has received tax calculation support for cases involving digital assets?

Historical cost data for individual cases is not available for release due to the structure of prior contract pricing and reporting.

17. Have prior cases experienced challenges that resulted in cost overruns? If so, what were they?

The IRS does not have releasable historical data regarding cost overruns under prior contract structures.

18. Would the government consider a non FedRAMP authorized solution? Or will the IRS provide sponsorship for the selected vendor, if required?

Any proposed solution must comply with applicable federal information security requirements. Offerors should describe how their solution meets or will meet required federal security standards, including FedRAMP. The IRS will evaluate proposals in accordance with solicitation requirements. Any cloud-based solution must possess FedRAMP authorization at the time of award at the impact level specified in the solicitation.